

Beyond the Deposit

BT Asset Management

2026

bbu icc Babeș-Bolyai University - International Case Competition

BANCA TRANSILVANIA®

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Disclaimer

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Banca Transilvania

1. Banca Transilvania

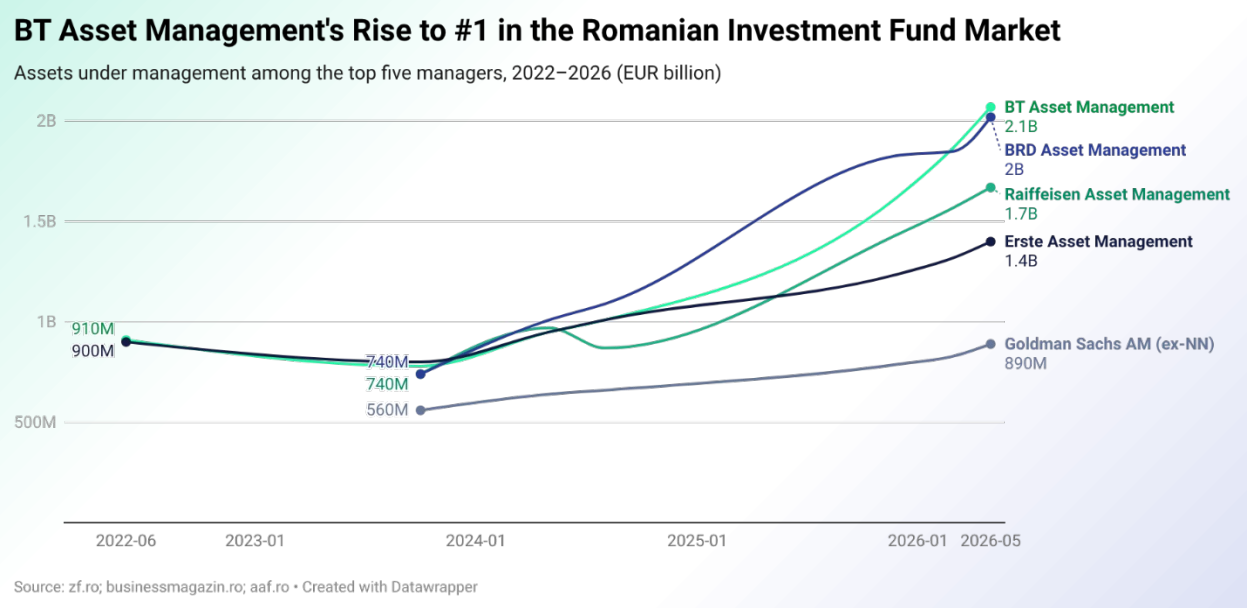
Banca Transilvania (BT) is the largest bank in Romania by assets managed, holding roughly 22% of total banking-system assets. Founded in 1993 in Cluj-Napoca by a group of 46 mostly local entrepreneurs with an initial capital of approximately EUR 2 million, it has grown in three decades into a group with total assets of about EUR 42 billion (2024). BT serves close to 4.6 million customers through more than 500 branches, and in 2024 posted a consolidated net profit of roughly EUR 945 million. It is listed on the Bucharest Stock Exchange (ticker TLV) and is part of Romania's benchmark BET index.

Positioned as the "bank for entrepreneurs," BT offers a full range of services to both individuals (accounts, cards, lending, deposits, and investments) and businesses, from SME financing to corporate cash management and trade finance.

On the balance sheet, BT's two segments mirror one another. Companies account for roughly 63% of its loan book, while households supply around 65% of its deposits, so retail clients are, in effect, the bank's primary funding base and corporates its main borrowers. That deep retail deposit base is also a natural pool of savings seeking higher returns than a current account provides and channelling it into investment products is the role of the group's dedicated asset manager, **BT Asset Management** (BTAM), the focus of this case.

2. BT Asset Management

BT Asset Management (BTAM) is the investment-management arm of the Banca Transilvania group. It began managing money in 2005 with a modest client base, and today it is the largest fund manager in Romania, managing around EUR 2.1 billion in assets and holding roughly 24% of the local mutual-fund market as of March 2026, having overtaken long-standing leader BRD Asset Management for first place.



BTAM's growth over the past few years has been rapid: both assets under management and the number of investors have roughly doubled since the start of 2025, leaving the investor base four times larger than in 2023, and in 2025 almost 60% of Romanians making their first-ever fund investment chose a BTAM fund. Much of this has come from a shift in how the funds are sold, with customers now investing directly from their phones instead of through advisors and paperwork. Around 235,000 people invest via the BT Pay app, some 90% of all fund transactions

run through it. In 2026, BTAM was named Best Asset Management Company in Romania by Global Banking & Finance Review.

3. Current Product Portfolio

BTAM offers 16 funds across five categories, denominated in RON, EUR, and USD, available through the BT Pay app from as little as approximately EUR 10 (RON 50). Each carries a Summary Risk Indicator (SRI), the EU's standardized 1-to-7 risk score, and BTAM's funds span only SRI 1 to 4, with none in the higher-risk 5 to 7 band. Through BTAM's Direct Invest program, clients can set up recurring investments in any of the funds. The chosen amount is then invested automatically in the selected fund or ETF on the specified day.

3.1 Fixed Income

The conservative core of the portfolio and its largest category, ranging from money-market funds invested mainly in bank deposits (*BT Fix*) to actively managed bond funds (*BT Bonds*).

3.2 Mixed

Funds that blend equities and bonds in a single product for moderate growth. *BT Classic* is the larger and more equity-tilted, up about 16% in 2025, while *BT Euro Classic* is more conservative and income-oriented.

3.3 Equity

BTAM's most in-demand category of late. *BT Index Romania ROTX*, a passive fund holding leading Romanian shares, is its largest fund overall. The range also includes

the actively managed *BT Maxim*, an Austrian index fund, and smaller thematic funds covering technology, energy, real estate, and agriculture.

3.4 Alternative

BT Invest is an alternative investment fund, which invests mainly in listed shares and carries higher redemption terms. It remains a minor part of the range, holding only a few million EUR.

3.5 ETF

An exchange-traded fund (ETF) tracks an index but trades on a stock exchange like a share, giving low-cost exposure to many companies at once and the ability to trade any time the market is open. Now among the fastest-growing products worldwide and increasingly popular with retail investors, ETFs reached Romania's BTAM in 2026 with the *BT Index Romania ETF BET-TR*, the group's first, tracking the *BET-TR* benchmark of leading shares on the Bucharest Stock Exchange.

BT Asset Management's Fund Range

All 16 funds by category, currency, risk level, 2025 return, and size

Fund	Category	Currency	SRI (1–7)	2025 Return	AUM (EUR m)
BT Fix	Fixed income	RON	1	n/a	355
BT Euro Fix	Fixed income	EUR	1	2%	356
BT Dollar Fix	Fixed income	USD	1	3%	69
BT Bonds	Fixed income	RON	3	7%	213
BT Euro Bonds	Fixed income	EUR	3	3%	92
BT Classic	Mixed	RON	4	16%	121
BT Euro Classic	Mixed	EUR	3	5%	61
BT Maxim	Equity	RON	3	40%	250
BT Index Romania ROTX	Equity	RON	4	47%	539
BT Index Austria ATX	Equity	EUR	4	42%	106
BT Technology	Equity	EUR	4	11%	87
BT Energy	Equity	EUR	4	7%	25
BT Real Estate	Equity	EUR	4	−2%	3
BT Agro	Equity	EUR	3	−7%	3
BT Invest	Alternative	RON	3	8%	3
BT Index Romania ETF BET-TR	ETF	RON	4	n/a	71

Source: btassetmanagement.ro • Created with Datawrapper

4. Market Environment & Investor Trends

European households generally invest less through capital markets than their US counterparts. In 2021, only 17% of EU household assets were held in listed shares, bonds, mutual funds or derivatives, compared with 43% in the United States, according to the Council of the European Union. Romania starts from an even lower base. The European Commission's 2026 Romania Country Report, using end-2024 data, places Romanian households' financial assets at 63% of GDP, versus 212%

across the EU. At approximately EUR 11,900 per person (compared with an EU average of EUR 85,000) Romania had the lowest household financial assets per capita in the Union.

Romania's modern investment infrastructure developed relatively recently. The Bucharest Stock Exchange was re-established in 1995, with its first trading session held on 20 November that year. A second layer of household investment emerged through private pensions: voluntary Pillar III pensions began in 2007, followed by mandatory Pillar II contributions in 2008. Pillar II created automatic, professionally managed investment exposure for most employees, while Pillar III offered a voluntary tax-supported route for additional retirement saving. By May 2026, Pillar II managed EUR 45.5 billion (RON 227.5 billion) for 8.53 million participants, while Pillar III held EUR 1.7 billion (RON 8.4 billion) for 1.08 million participants, making pensions Romania's largest pool of long-term household investment capital.

Over the past five years, participation has expanded rapidly through both direct and indirect channels. Direct participation means that individuals buy and hold securities through their own brokerage accounts. Indirect participation means that households invest through pooled vehicles–such as mutual or pension funds–whose portfolios are managed professionally. According to the Bucharest Stock Exchange's 2025 Annual Report, the number of investors with active trading accounts reached 285,582 at year-end, 26% more than in 2024 and more than four times the level five years earlier. The same report states that mutual-fund participation exceeded one million investors, three times the level of five years earlier; ASF separately reported 1.08 million investors in UCITS funds at the end of 2025. These populations overlap and therefore should not be added together, but both measures show that investing is moving beyond a small affluent niche.

Income growth has increased the theoretical capacity to invest, although not necessarily actual saving. The National Institute of Statistics reported average monthly household income of EUR 1,879 (RON 9,399) and expenditure of EUR 1,607 (RON 8,037) in 2025, leaving an arithmetic difference of EUR 272 (RON 1,362), or approximately 14.5% of income. This figure is an affordability proxy, not an estimate that the average household invests EUR 272 (RON 1,362) each month. Eurostat's national-accounts methodology–which measures saving across the economy using different definitions–recorded a negative Romanian household saving rate in 2024. The apparent contradiction therefore reflects methodology and household heterogeneity rather than an unrecorded EUR 272 (RON 1,362) monthly investment flow.

The latest harmonised European comparison still shows a conservative allocation. The European Commission's 2026 Country Report states that almost 42% of Romanian household financial wealth was held in cash and bank deposits, compared with 32% across the EU. Investment-fund units represented only 2.6% of Romanian household financial assets, versus 11% in the EU, while insurance and pension assets accounted for 15.8%, compared with 27.8% EU-wide. Romania is therefore not only under-invested in absolute terms; the financial wealth it has accumulated remains disproportionately liquid and low-risk.

Mutual funds show that this allocation is beginning to change. ASF monthly reports place local open-end fund assets at EUR 3.6 billion (RON 17.97 billion) in January 2024 and EUR 7.66 billion (RON 38.3 billion) in May 2026, more than doubling in less than two and a half years. The composition is also moving toward higher-risk assets: bond and fixed-income funds declined from approximately 52% of assets in January 2025 to 42% in May 2026, while equity funds increased from around 18% to 28%. Bonds remain the largest category, but the simultaneous

growth of total assets and equity exposure suggests a gradual increase in retail risk appetite rather than asset growth driven only by deposit-like funds.

Age data from ASF's 2025 private-pension system report show where long-term participation remains concentrated. At year-end, 32% of Pillar II participants were aged 35 or below and 68% were older than 35. The voluntary Pillar III market was older still: only 7.5% of participants were aged 15–29, compared with 35% aged 30–44 and 57.5% aged 45 or above. Young adults are therefore widely exposed to investing through mandatory pensions but remain underrepresented in voluntary long-term products.

A potential next step is the proposal for tax-advantaged Individual Investment Accounts (a similar solution to the USA's 401k accounts) for the Future–originally introduced as CIIP–which the Senate adopted on 29 June 2026 and sent to the Chamber of Deputies; it signals a policy shift toward market-based household saving but, at the time of writing, has not yet become law.

5. Competitive Landscape

BTAM competes with two broad groups: traditional bank-owned asset managers, which offer professionally managed funds through established banking relationships, and fintech platforms, which provide convenient, largely self-directed access to domestic and international investments. The distinction is increasingly blurred, as retail investors often use several providers for different products and investment objectives.

5.1 Traditional bank competitors

BTAM's closest traditional competitors are *BCR* through *Erste Asset Management*, *BRD Asset Management* and *Raiffeisen Asset Management*. *BCR/Erste* offers a substantially broader international fund range than BTAM, covering more than 50 local and international products, but generally with higher minimum investments (20 EUR / 100 RON) and, for some funds, higher entry costs. *BRD* differentiates itself through *BRD Acțiuni*, which provides predominantly Romanian equity exposure through both RON and EUR share classes, offering greater subscription-currency flexibility than BTAM but without eliminating exchange-rate risk. *Raiffeisen* offers a clear range of RON-, EUR- and USD-denominated funds and strong active exposure to Romanian equities, but has fewer thematic products and no proprietary ETF comparable to BTAM's Romanian-market ETF.

5.2 Fintech competitors

TradeVille, *Revolut*, *XTB* and *eToro* have become increasingly important alternatives over the past five to ten years by making investing faster, more accessible and more global through digital platforms. *TradeVille*, Romania's largest online broker, provides broad access to BVB-listed securities, international assets, government bonds, ETFs and mutual funds, offering greater investor control than BTAM but requiring clients to construct and manage their own portfolios. *Revolut*, an international digital bank, integrates stocks, ETFs, bonds, commodities and cryptoassets into an everyday financial app, providing broader instrument choice and convenience but little Romanian-market specialization or delegated portfolio management. *XTB* is particularly competitive for low-cost global investing, offering thousands of shares and ETFs alongside automated ETF-based *Investment Plans*, but does not provide Romanian mutual funds or locally focused active management.

eToro differentiates itself through global asset coverage, *CopyTrader* and managed *Smart Portfolios*, but its combination of direct investing, copied strategies and leveraged products is more complex than BTAM's managed-fund proposition, while Romanian users may also need to declare investment income separately.

6. Digitalization and the Impact of AI

Across Europe and globally, investing has moved from bank branches to smartphones, with most new investors now choosing funds through apps rather than advisors. Artificial intelligence is entering the business too, from robo-advisors that manage portfolios automatically to tools that personalize advice at scale. The global robo-advisory market is growing around 30% a year. Beyond such dedicated tools, many people now turn to widely available AI chatbots for basic financial guidance, from explaining products to sketching out how to invest. Younger investors are driving this shift and are notably open to automation: over 40% say they would let an AI assistant manage their money.

Romania sits earlier on this curve. Its retail base is growing fast and already highly digital, with about 90% of BTAM fund transactions made in the BT Pay app. But the layers built on top of digital distribution elsewhere are largely missing: robo-advice and AI-driven personalization are not yet mainstream, thematic and AI-focused products are thin, and ETFs reached the local market only in 2026. Romanian households still keep most savings in bank deposits, and the country has the EU's lowest financial literacy. Romania has adopted mobile investing quickly but

has not yet built the advice and product sophistication around it, which is exactly the space a new retail product could fill.

7. Your Strategic Challenge

BT Asset Management has grown rapidly to become Romania's largest investment-fund manager. However, the market around it is also changing: Romanian investors are becoming more numerous and digitally active, risk appetite is gradually increasing, international platforms are expanding access to global assets, and AI is beginning to reshape how investment products are selected, explained and managed.

Your task is to develop BTAM's retail product-portfolio strategy for 2027–2031.

Begin by evaluating BTAM's existing portfolio and determining how well it responds to the needs of Romanian retail investors and to the market trends presented in this case. Identify the most important gaps, overlaps and opportunities within the current offering.

Based on this analysis, recommend **one or more additions, modifications, or repositioning initiatives** that would strengthen BTAM's competitiveness, attract new investors, and create more value from its existing client base. Your recommendation may include:

Options may include new products; modifications, consolidation, or repositioning of existing funds; portfolio- or goal-based solutions; and digital or AI-enabled features, packaging, or distribution models.

Your proposal should address the following areas:

1. Strategic portfolio assessment

How well does BTAM's current product portfolio respond to changing investor needs and competitive pressure?

Which products, asset classes, currencies, risk levels or customer needs are currently overrepresented or underserved?

Which market trends should BTAM prioritize over the next five years?

2. Recommended portfolio strategy

What specific additions or changes should BTAM make to its current offering?

Should BTAM launch new products, modify existing ones, combine several funds into a broader investment solution, or pursue a combination of these approaches?

3. Target customers and positioning

Which investor segments should BTAM prioritize, and what needs, behaviours or barriers characterize them?

What value proposition would persuade these customers to choose BTAM instead of bank deposits, competing fund managers, brokers or international platforms?

4. Product design, risk and innovation

For any proposed new or modified product, define its structure, asset allocation, currency, expected SRI level and investment objective.

How should BTAM balance classic diversification with exposure to emerging themes such as technology and AI?

How can BTAM introduce meaningful innovation while maintaining simplicity, investor protection and regulatory compliance?

5. Digital experience and distribution

What role should BT Pay, recurring investments, personalized recommendations, financial education and AI-enabled tools play in the proposed strategy?

How should BTAM attract first-time investors while also serving more experienced customers?

6. Business impact and implementation

What impact could the strategy have on BTAM's assets under management, number of investors, revenues, profitability and competitive position by 2031?

What key performance indicators should management use to evaluate success?

Provide a realistic implementation roadmap, including priorities, timing, required capabilities, major risks and mitigation measures.

8. Appendix

Appendix 1

Supporting annual reports, fund documents, and other public materials referenced in this case are available on the official Banca Transilvania and BT Asset Management websites.

